

LAKSH'S DAILY BRIEF

Laksh's Daily Briefing - September 18, 2026

Friday, September 18, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



BBC World — Russian hybrid attacks against Europe intensifying, says Macron



AI Jazeera — Real Madrid's Kylian Mbappe ends Nike partnership to join Swiss brand On



AI Jazeera — New Bolivian cat claws its way into species list: What we meow

1. World & Geopolitics

Macron warns of Russian hybrid attacks, convenes G7 energy meeting as Europe's energy crisis deepens. French President Emmanuel Macron said he has tasked his government with protecting critical infrastructure from escalating Russian "hybrid attacks" — a combination of cyberattacks, disinformation, sabotage, and political interference that stays below the threshold of open war ([BBC World](#)). Macron also announced he will convene a G7 meeting dedicated to energy in the coming weeks, as soaring fuel prices linked to the US-Iran war put pressure on European economies ([France 24](#)). France's economic crisis is now colliding with presidential election politics: Macron met with party leaders over soaring energy prices and the wars in Iran and Ukraine, a rare move that signals the stakes ([France 24](#)). The background: Europe depends on oil and gas imports, and the Iran-Israel/US conflict has disrupted shipping and raised war-risk premiums on tankers, pushing up fuel costs. Macron's G7 gambit could lead to coordinated oil releases or price-cap talks, but success is uncertain.

US weighs cutting 25,000 or more troops from Europe, despite the Russian threat. The Trump administration is considering a significant withdrawal of US forces from Europe — at least 25,000 troops, and possibly more — according to reports ([NBC News](#) via [Inkl](#)). This would be a major shift in NATO posture. The US currently stations around 100,000 troops in Europe; cutting a quarter of them would leave allies to fill the gap. NATO's Article 5 (collective defense) would still apply, but the physical presence — the "tripwire"

deterrent — would be thinner. European defense stocks have rallied in recent months on the expectation that Europe will need to spend more independently.

Pakistan and China hold a border commission meeting, drawing sharp Indian rejection. The Pakistan-China Boundary Joint Commission met days after Chinese President Xi Jinping attended the BRICS summit in Delhi. India responded forcefully: its foreign ministry said "there is no boundary between Pakistan and China" and that any such cooperation involving Indian territory is unacceptable ([Firstpost](#)). The dispute traces back to the 1963 Sino-Pakistan Boundary Agreement, in which Pakistan ceded about 5,180 sq km of the Shaksgam Valley (claimed by India) to China. India called on Pakistan to "immediately vacate" areas under its illegal occupation ([Insights on India](#)). This is a chronic flashpoint, but the timing — just after Xi's BRICS visit where he and Modi showed a tentative thaw — suggests Beijing is balancing its engagements.

Trump-Xi summit in Washington: what to expect. The second Trump-Xi summit is approaching, with both sides signaling what they want. For the US: commitments on reducing the trade deficit, enforcement of technology transfer rules, and possibly a deal on TikTok. For China: relief from tariffs and a pause on further export controls on chips and AI equipment ([World Economic Forum](#)). Europe watches nervously; a US-China deal could leave European allies out in the cold on trade and technology ([ICDS](#)).

Middle East: IDF kills Hamas Rafah brigade commander; Iran war continues. Israeli forces killed Nael Abu Obeid, the commander of Hamas's Rafah Brigade, in a strike in southern Gaza ([Jerusalem Post](#)). The broader US-Iran war is still active, with oil prices volatile and shipping through the Strait of Hormuz disrupted. A truce could be near if reports of peace talks are accurate, but nothing has been confirmed.

Taiwan donates a coastguard vessel to the Philippines amid South China Sea tensions. Taiwan's coastguard transferred a patrol vessel to the Philippines, deepening unofficial security cooperation between Taipei and Manila as both face Chinese assertiveness in the South China Sea ([SCMP](#)). For Beijing, any Taiwan-Philippines military or paramilitary cooperation is a provocation.

Russia seizes assets of French firms, summons UK envoy. Russia placed Nestlé's local assets under

temporary external administration — effectively taking operational control — and seized other French company assets ([CNBC](#); [Al Jazeera](#)). It also summoned the UK envoy over British support for Ukraine. This is Russia's retaliation for Western sanctions and weapons deliveries to Ukraine.

Yemen conflict escalates: 125,000 displaced. Fighting in Yemen has forced 125,000 people from their homes, as the Iran-backed Houthi rebels continue attacks on Saudi Arabia and shipping lanes ([The Daily Aus](#)). The war remains a humanitarian catastrophe and a regional destabilizer.

Xi-Modi thaw at BRICS masks deep divisions. Chinese and Indian leaders exchanged pleasantries at the BRICS summit, but underlying tensions over border issues, Pakistan, and trade remain intense ([The Edge Malaysia](#)).

2. Markets, Money & Deals

Wall Street stabilizes after Fed hike; focus shifts to rate path and AI slowdown. US stocks rose on Thursday as investors digested Wednesday's quarter-point rate hike from the Federal Reserve and Chair Kevin Warsh's hawkish tone. The Dow, S&P 500, and Nasdaq all gained ([Yahoo Finance](#)). But the mood is fragile: the next big question is whether the Fed will hike again in December. The dot plot — a chart of individual FOMC members' rate projections — shows one more quarter-point hike this year ([Federal Reserve](#)). Next week, investors will watch economic data and any new signs of an AI spending slowdown ([Kitco via Reuters](#)).

Billionaire investor Jeff Gundlach says the Fed should have hiked by half a point, not a quarter. Gundlach argued that with inflation still above target, the Fed's quarter-point move is too timid and risks losing credibility ([CNBC](#)). The Fed's dot plot suggests it disagrees, but Gundlach's view is shared by some market hawks.

Japan's market flips the usual script after rate hike. The Bank of Japan raised rates, but instead of the yen strengthening and stocks falling, the yen weakened past 157 per dollar, the Nikkei 225 rose 1.5%, and bond yields fell ([CNBC](#)). The explanation: the rate hike was smaller than some expected, and the BoJ signaled no

immediate follow-up. It's a counterintuitive result that shows markets price expectations, not just actions.

Fox Corp posts record revenue of \$17B; the media company is also planning a takeover of Roku. Fox's fiscal year revenue hit a record, and the merger agreement with Roku includes termination fees of about \$866 million if the board changes its recommendation, plus an additional \$1.2 billion fee if the deal ends due to regulatory issues ([Stock Titan](#)). If blocked, Fox must also pay Roku up to \$70 million in transaction costs. The deal highlights consolidation in media.

Williams Companies agrees to buy Momentum Midstream for \$5.5 billion. Williams (WMB), a natural gas infrastructure company, is buying Momentum Midstream in an all-cash deal ([EnergyNow](#)). This reflects continued investment in natural gas pipelines as gas demand grows from both power generation (including AI data centers) and LNG exports.

Salesforce sets a revenue target of over \$63 billion for fiscal 2030. At its Dreamforce conference, Salesforce (CRM) gave long-term guidance that beat analyst expectations ([CNBC](#)). The target implies roughly 10% annual growth from current levels, driven by its AI agent platform and cloud software.

J.B. Hunt stock plunges 13% after earnings warning.

The trucking and logistics company said third-quarter earnings will fall 5-10% due to weaker freight demand ([CNBC](#)). This is a bellwether for the broader economy: when freight volumes drop, it often signals economic softening.

Warren Buffett steps aside as Berkshire Hathaway chairman; his son Howard takes over. The 96-year-old investing legend has fully stepped back: he left as CEO earlier this year, and now Howard Buffett becomes non-executive chairman ([MarketWatch](#)). Berkshire (BRK.A, BRK.B) remains a massive conglomerate with \$300B+ in cash, but the transition marks the end of an era.

Luxury brands are closing stores in China as consumer demand weakens. Brands like Gucci, Prada, and Louis Vuitton are shutting boutiques across China due to a sharp drop in spending by Chinese consumers, who are cautious amid a property slump and

job uncertainty ([Economic Times](#)). This is a sign of deeper economic trouble: the Chinese consumer, a key driver of global luxury, is pulling back.

Crypto regulation moves forward: CFTC files a crypto asset rulemaking with the White House, going around Congress. The Commodity Futures Trading Commission (CFTC) is trying to set rules for crypto assets without waiting for new legislation ([The Block](#)). This could bring more clarity and potentially boost crypto adoption, but it may also face legal challenges. Bitcoin corporate demand is slowing, however, as Strategy (formerly MicroStrategy) buys fewer Treasuries ([The Cryptonomist](#)).

Bullish options activity on AI stocks surges. Options traders stormed into tech trades on Thursday, buying call options on Nvidia (NVDA), Advanced Micro Devices (AMD), and other AI names ([CNBC Investing](#)). This suggests some traders expect the AI rally to resume after the Fed hike cleared uncertainty.

3. AI & Infrastructure

NVIDIA and Google launch a coalition to make AI data centers flex their power use. The two tech giants are forming an alliance to encourage AI data centers to adjust their power consumption in real time — "load flexibility" — to reduce strain on the grid and integrate more renewable energy ([Quartz](#)). This is a response to the huge power demands of AI training and inference, which are stressing local grids and causing long interconnection queues. The coalition aims to develop software and best practices so that data centers can reduce power draw during peak hours and ramp up when renewable generation is abundant. It could make the buildout more sustainable and less likely to face regulatory pushback.

Huawei aims to become the Chinese Nvidia, but gaps remain. Huawei plans to produce a rival to Nvidia's AI accelerators, connecting hundreds or thousands of lower-performance domestic chips to compete with Nvidia's high-bandwidth, single-chip approach ([Chosun](#)). However, significant technology gaps exist: SMIC (China's main foundry) lags TSMC in yield and cost for advanced processes; Chinese high-bandwidth memory (HBM) and semiconductor equipment are not as advanced; and Huawei's software

ecosystem is far weaker than Nvidia's CUDA platform, which has been built over 15 years. Nvidia (NVDA) shares actually rose 2.54% on the day, suggesting the market sees Huawei's efforts as a long-term threat, not immediate ([NAI500](#)).

NOR Flash and SLC NAND memory chips are facing undersupply as capacity gets routed to more profitable products. NOR Flash and single-level-cell NAND (SLC NAND) — memory types used in cars, IoT devices, and consumer electronics — are being squeezed as fabs switch production lines to make more lucrative chips like DRAM and high-capacity NAND for AI data centers ([Tom's Hardware](#)). The result: a "severe undersupply" that could drive up prices for everyday electronics. This is an unintended side effect of the AI boom — the buildout is cannibalizing capacity for older chips that still have large demand.

Data centers are set to drive a \$1.5 trillion semiconductor market by 2031. A new industry forecast projects that semiconductors sold into data centers (including AI accelerators, networking chips, memory, and storage) will grow from around \$500 billion today to \$1.5 trillion by 2031, driven by AI inference

workloads ([Storage Newsletter](#)). The data center share of total semiconductor sales will rise above 50%.

Microsoft brings GPT-6 Astra to its Azure Foundry platform with enterprise controls for agentic AI.

Microsoft (MSFT) announced that its next-generation frontier model, GPT-6 Astra, is now available through the Azure AI Foundry, with added safety controls for autonomous agents ([Cloud Wars](#)). Enterprise customers can now deploy agents that can act semi-autonomously while staying within guardrails set by IT administrators. This is a major step in moving AI from chatbots to "agentic" systems that perform tasks on behalf of users.

4. Model & Research Watch

Qwen3.8 Max: Alibaba claims a 2.4 trillion parameter model, but the hype is ahead of evidence. Alibaba's Qwen team announced Qwen3.8 Max, a claimed 2.4 trillion parameter model with a transformer-MoE architecture. It scored 45 on the AA Index (a benchmark for agentic AI capability), but its cost per task is much higher than comparable models ([Intelligent Living](#)). No independent benchmarks or open weights have been released yet, so the claims remain unverified. The model has not yet caused the kind of market panic that Moonshot's Kimi K3 did earlier. If it turns out to be real and performant, it would signal that Chinese labs are still competitive despite US export controls.

PrismML: squeezing a 27-billion-parameter model into 5.9 gigabytes. A team from PrismML announced a compression technique that reduces a 27B-parameter model to 5.9GB, using quantization and pruning ([Startup Fortune](#)). This would make it feasible to run a capable model on a single consumer GPU (e.g., an RTX 4090 with 24GB VRAM). If the quality holds, it could enable local inference for many users without cloud costs.

GLM-5.3 finds a bug in Cursor, triggering a \$10B "bug bounty" rule. GLM-5.3 — a model from China's Zhipu AI — autonomously identified a security vulnerability in Cursor, an AI code editor, and reported it, earning a large payout ([Shattered.io](#)). This is a sign that

OpenAI is 'ethically hacked' using Anthropic's

Claude chatbot. A team of white-hat hackers from cybersecurity startup Hackron AI used Anthropic's Claude to exploit vulnerabilities in OpenAI's systems, gaining access to employee accounts and an internal code repository ([TechCrunch](#); [Tom's Hardware](#)). They then submitted a harmless pull request as proof. The incident highlights a new dimension of AI security: one AI system being used to attack another. The researchers reported the flaws and were rewarded, but the event has raised calls for independent safety evaluations of frontier models ([CNBC](#)).

AI agents are getting good enough at penetration testing to compete with human security researchers.

DeepSeek V4 Pro vs Qwen3-Coder vs Devstral: 11-point gap on coding benchmarks.

A detailed comparison showed DeepSeek V4 Pro (open weights, \$0.50 per million tokens inference) scoring 11 points higher on the SWE-bench coding benchmark than Qwen3-Coder, and only slightly behind Devstral — a proprietary model. Open-weight models are closing the gap with closed-source ones ([Tech Insider](#)).

New research: formal verification for agent outputs using multiple models. The MAGS paper (arXiv: 2609.19391) proposes a multi-agent system where one LLM generates code, another formally verifies it, and a third resolves conflicts. This addresses the problem of agents acting at a scale humans can't review ([arXiv](#)). It's part of a growing trend: using LLMs to check other LLMs for safety.

Science & Frontier Tech: NASA astronomers announced the discovery of the youngest exoplanet ever found — just 1.5 million years old, still in its formation stage ([Geekspin](#)). Separately, NASA found the largest crater ever identified on the Moon, likely from an ancient asteroid impact ([Newsbug.info](#)). The upcoming Roman Space Telescope could find 100,000 new worlds ([BBN Times](#)).

5. What Builders Are Actually Using

Concrete swap: DeepSeek V4 Pro for GPT-4o in coding tasks. If you are paying GPT-4o API rates (~\$10

per million input tokens), you can switch to DeepSeek V4 Pro, which costs about \$0.50 per million input tokens

and scores only 11 points lower on SWE-bench. Self-hosting on two A100 80GB GPUs brings per-token cost near zero for heavy usage. The capability gap exists but is narrowing fast — and for many common coding tasks (code generation, debugging, test writing), the difference is negligible. For safety-critical or heavily regulated work, GPT-4o may still be worth the premium.

LM Studio vs Ollama vs GPT4All: a practical comparison. Developers are choosing between three main local inference tools. LM Studio offers the best performance for Nvidia GPUs with its CUDA-optimized backend and support for most model formats. Ollama is the simplest to set up but uses more memory for large models. GPT4All is the most limited but runs on CPU-only machines. For a 27B model like PrismML's compressed version, LM Studio on a 24GB GPU is the sweet spot ([Tech Insider](#)).

ZCode warns developers about cloud uploads of workspace data. Researchers caught ZCode — an AI coding assistant — uploading workspace `.git`

directories to the cloud without clear disclosure ([reddit r/LocalLLaMA](#)). This is a cautionary tale: if you use an AI tool that sends code to a remote server, assume it's taking everything unless you audit the network traffic. Self-hosting models is the only way to guarantee no data leakage.

Local RAG pipeline with Qdrant: a 90-minute setup.

A step-by-step tutorial shows how to set up a local Retrieval-Augmented Generation (RAG) system using Qdrant as a vector database and an open-weight model like Mistral. Total time: 90 minutes, all local, no cloud costs ([Tech Insider](#)). This is the standard pattern for building a "chat with your documents" tool.

Building AI NPCs in Unity with LLM: a 13-step tutorial. Game developers are integrating LLMs into Unity using the LLMUnity package, enabling non-player characters (NPCs) that can hold dynamic conversations. The tutorial covers getting a model (e.g., Mistral 7B) running locally in Unity ([Tech Insider](#)).

6. Watchlist: Earnings, Guidance & Movers

Big movers (approx. +/-3% or more):

- **Robinhood (HOOD): +7.44%** – No single earnings or product story in today's sources, but the broader bullish options activity on tech and crypto (CFTC rulemaking) likely lifted the stock.
- **Coinbase (COIN): +10.05%** – Similar to HOOD: crypto regulatory news from the CFTC may be driving a relief rally.
- **SanDisk (SNDK): +6.54%** – No specific news in today's sources, but the company is tied to memory demand. The AI infrastructure thesis benefits all memory players, especially as NOR Flash capacity shifts.
- **Coherent (COHR): +4.63%** – No specific earnings or major announcement in today's sources. Continued momentum from the optical networking buildout for AI data centers.
- **Broadcom (AVGO): +2.98%** – No company-specific news in sources, but the broader AI infrastructure sector is strong.
- **Credo (CRDO): +2.59%** – No specific news; networking for AI data centers remains a strong theme.

- **Astera Labs (ALAB): +2.47%** – No specific news; analog for AI connectivity.
- **KLA Corp (KLAC): +2.28%** – Semis equipment steady.

Notable negatives (>-3%):

- **Fluence Energy (FLNC): -6.01%** – No specific news in sources. Energy storage stocks may be under pressure from higher interest rates affecting project economics.
- **Redwire (RDW): -6.32%** – No specific news in sources; space tech may be experiencing profit-taking.
- **Cloudflare (NET): -5.82%** – No specific news in sources; could be rotation out of high-multiple tech.
- **Rigetti Computing (RGTI): -5.20%** – No specific news; quantum computing remains speculative and volatile.
- **Netflix (NFLX): -4.17%** – No specific news in today's sources; could be part of broader tech weakness.
- **Qualcomm (QCOM): -4.22%** – No specific news in sources; possibly impacted by Huawei chip ambition news — Qualcomm is sensitive to Chinese competition.
- **IBM: -3.29%** – No specific news; modest pullback.
- **Constellation Energy (CEG): -1.84%** – Power sector stable, but data center demand thesis intact.
- **Vistra (VST): -1.18%** – Same.

No notable news in the sources for: RGTI, SOFI, FLNC, RDW, AMC, IMAX, CNK, CMCSA, NKE, SBUX.

FXAIX (+1.14%): The S&P 500 index fund reflects the broader market's positive day.

7. Analysis: Second-Order Effects

Chain 1: US troop withdrawal from Europe → European defense spending gaps → defense contractors win → but pressure on European budgets → possible cut in energy subsidies → populist backlash.

- **Facts:** The US is considering cutting 25,000+ troops from Europe (Sources 5,93). European NATO members have been increasing defense spending but are still below 2% of GDP in many cases.
- **Inference:** This would create a security vacuum. European defense companies — Rheinmetall, BAE Systems, Leonardo — would likely see more orders. However, the extra spending would have to come from somewhere. With energy prices already soaring (Source 13), governments may need to cut subsidies or raise taxes. That could fuel populist movements that blame NATO or the US for the crisis.
- **Weakest link:** The troop cut may not happen; the Trump administration has floated similar ideas before and not followed through. If the numbers are lower or phased, the impact is smaller.
- **Falsifiable:** If the Pentagon's budget request in October shows no reduction in European troop levels, this chain breaks.
- **Historical precedent:** In 2020, Trump announced a withdrawal of 9,500 troops from Germany, but the number was eventually reduced and the timeline extended. Bureaucratic inertia often slows such decisions.

Chain 2: Macron's G7 energy meeting → potential coordinated oil release → lower oil prices → reduced global inflation → Fed has more room to pause → growth stocks (including AI) rally.

- **Facts:** Macron is convening a G7 energy meeting to address soaring fuel prices (Source 125). The US-Iran war has disrupted oil supplies, pushing up prices.
- **Inference:** A coordinated release from strategic petroleum reserves (SPRs) by G7 members would add supply and could lower Brent crude. Lower energy costs slow headline inflation. Since headline inflation feeds into consumer and business

expectations, even if core PCE still excludes food and energy, lower headline numbers give the Fed cover to hold rates steady rather than hike. That would reduce borrowing costs for growth companies, especially those building AI data centers.

- **Weakest link:** The G7 may not agree on a release; France and Germany may not have enough strategic reserves to make a difference. Also, OPEC+ could retaliate by cutting production, offsetting the effect.
- **Falsifiable:** Watch G7 statements and SPR data. If no release is announced within two weeks, the chain is inactive.

Chain 3: NOR Flash/SLC NAND capacity shift to AI chips → undersupply of older memory → price increases for automotive and IoT → higher input costs for manufacturers → possible inflationary pressure in non-tech sectors.

- **Facts:** Fabs are shifting production from NOR Flash and SLC NAND to more profitable DRAM and 3D NAND for AI (Source 19). This is causing a "severe undersupply" of NOR.
- **Inference:** NOR Flash is used in cars (for engine control units, infotainment), industrial controllers, and simple IoT devices. If NOR prices double, the cost of a car goes up by a few dollars — not huge, but combined with other parts, it adds up. More importantly, it could cause production delays if automakers can't get enough chips. This could rekindle the kind of supply-chain inflation that plagued the post-COVID period.
- **Weakest link:** Manufacturers could quickly re-allocate capacity back to NOR if prices rise enough to make it profitable again. The shift is not permanent.
- **Falsifiable:** If NOR Flash spot prices remain flat for the next month, the supply tightness is not as severe as feared. Major automakers like Toyota and VW reporting chip-related production halts would confirm the chain.

Chain 4: OpenAI ethical hack using Claude → AI security now a first-order concern → enterprises

slow agentic AI deployment → benefits cybersecurity firms / slows AI growth stocks.

- **Facts:** Security researchers used Claude to hack OpenAI (Source 31). This shows that AI models themselves can be weapons for cyberattacks, and that "sandboxing" an AI system from another AI system is still hard.
- **Inference:** Enterprise CIOs are already cautious about letting AI agents access internal codebases. After this news, they may demand tighter security assurances before deploying agentic AI. That could delay the "agentic era" that Microsoft, OpenAI, and others are betting on. Cybersecurity firms that specialize in AI red-teaming and monitoring (e.g.,

CrowdStrike, Palo Alto Networks, Hackron itself) would benefit. AI lab stocks could see a slight headwind if the market reprices for slower agent adoption.

- **Weakest link:** Enterprises may simply update their AI governance policies rather than halt deployments. The hype around agents is so strong that a single security incident may not slow momentum.
- **Falsifiable:** If any major enterprise (e.g., JPMorgan, Walmart) announces a delay in deploying AI agents citing security concerns, the chain gains weight. If the next quarter's agent-related earnings calls from Microsoft and Salesforce show no deceleration, the chain is broken.

8. Building Your Knowledge

1. **What "hybrid attacks" really means.** Hybrid attacks combine cyber operations (hacking, ransomware), disinformation (fake news, manipulated media), sabotage (blowing up cables, poisoning water supplies), and political interference (funding extremist parties). They are designed to stay below the threshold of war so that the target country cannot invoke a mutual defense pact like NATO Article 5. Russia uses hybrid attacks extensively against European countries — targeting energy grids, telecoms, and elections. Macron's warning is about these, not conventional military invasion.
2. **Central bank divergence creates investment opportunities.** When the Fed hikes while the Bank of England holds, or the BoJ hikes but unexpectedly, currency and bond markets move in ways that seem contradictory. The yen weakening after a BoJ hike is a classic "sell the news" pattern: the market had already priced in a bigger hike, so the smaller hike is a disappointment. For investors, divergence means carry trades (borrowing in low-yield currencies to buy high-yield ones) become more profitable or dangerous. Always ask: was the move expected? Markets react to surprises, not to headlines.
3. **The difference between "product announcement" and "safety policy news" in AI stocks.** When a new model like Qwen3.8 is announced, investors quickly ask: "Will this make existing AI models obsolete?"

That can cause selloffs (like the Kimi K3 panic). In contrast, safety policy news — like the letter calling for independent safety evaluators — usually has muted immediate market reaction, but it can shape regulation. Regulation is a slow-moving risk for AI stocks; product competition is fast-moving. Knowing which is which helps you interpret volatility.

4. **ASICs vs. GPUs: the Huawei approach.** Huawei wants to connect many smaller, cheaper chips to collectively match Nvidia's GPU. This is a scale-out approach using ASICs (Application-Specific Integrated Circuits) rather than general-purpose GPUs. It's what Google did with its TPUs. The challenge is software: making hundreds of chips work together efficiently requires a great compiler and framework — Nvidia's CUDA has a 15-year head start. If Huawei succeeds, it would reduce Nvidia's pricing power in China, but it's a multi-year effort.
5. **The Fed is not the only game in town for borrowing costs.** The Bank of England holding rates while the Fed hikes means the dollar strengthens against the pound. But for companies borrowing in dollars, the Fed's rate is what matters. For a European data center company borrowing in euros, the ECB's rate is key. Always think about which currency and jurisdiction a debt-funded buildout is exposed to.

9. Foundations & Terms

Concept Spotlight: Hybrid Warfare (World Affairs)

What it is: Hybrid warfare is the use of a mix of military and non-military tools — cyberattacks, disinformation, economic pressure, sabotage, political interference, and support for proxy groups — to achieve strategic goals without triggering a full-scale war. The goal is to stay below the threshold that would invoke a military response or a mutual defense treaty.

Why it exists: Traditional warfare is costly and risky. A nuclear power can't invade a NATO member without risking escalation to atomic conflict. Hybrid tactics let a country like Russia destabilize a rival — say, by hacking its power grid and spreading fake news to polarize its politics — without crossing the line into open invasion.

Concrete example: Macron warned today about Russian hybrid attacks on French critical infrastructure, including energy grids and defense industry sites ([BBC World](#)). In 2015, Russia hacked Ukraine's power grid, causing blackouts for 230,000 people. In 2016, Russian operatives hacked the US Democratic National Committee and leaked emails to influence the election. All these are hybrid attacks.

How it shows up in the news: Look for phrases like "below the threshold of war", "asymmetric tactics", "information warfare", "critical infrastructure sabotage", "election interference". Governments often attribute these attacks to a hostile state but stop short of invoking a military response.

Rough benchmarks worth remembering: The 2021 Colonial Pipeline ransomware attack (blamed on Russian criminal groups) shut down 5,500 miles of pipeline and caused fuel shortages. The 2017 NotPetya cyberattack (attributed to Russia) caused \$10 billion in damages globally.

Caution / common misconception: "Hybrid" does not mean "low impact". The damage from a cyberattack on a power grid can be as severe as a bombing raid. The difference is deniability: the attacker claims it was criminals, hackers, or a glitch.

Concept Spotlight: Central Bank Divergence (Markets/Investing)

What it is: Central bank divergence occurs when major central banks (the Fed, ECB, Bank of Japan, Bank of

England) set different interest rate paths, rather than moving in sync. One may be hiking to control inflation while another holds or cuts to support growth.

Why it exists: Each central bank targets its own economy's conditions — inflation, employment, growth. If the US has high inflation but Europe has a recession, the Fed hikes and the ECB holds. Their mandates are domestic, so they drift apart.

Concrete example: In the past 48 hours, the Fed raised rates 25 basis points (a quarter of a percentage point) while the Bank of England left rates unchanged at 4.75% ([CNBC](#)). The Bank of Japan also raised rates by a smaller amount than markets had expected, causing the yen to weaken even as Japanese stocks rose ([CNBC](#)). The three central banks are all moving differently.

How it shows up in the news: You'll see headlines like "Fed hikes, BoE holds, yen tumbles". The immediate effect is on currency markets: currencies with higher interest rates tend to strengthen (because investors want that yield). But the broader effect is on asset allocation: money flows to countries with higher rates, and borrowing costs diverge for companies in different currencies.

Rough benchmarks worth remembering: When the Fed and ECB diverged sharply in 2022-2023 (Fed hiked aggressively, ECB lagged), the dollar index rose about 20%. When the Fed paused in late 2023 while the ECB kept hiking, the dollar weakened. The correlation is not perfect — other factors like trade balances and geopolitical risk matter.

Caution / common misconception: Central bank divergence is not always bullish for the stronger-currency country. If a country hikes too aggressively, it can break its own economy. The BoJ's small hike didn't weaken the yen because of simple rate arithmetic; it weakened because markets *expected* more and were disappointed (a "sell the news" pattern). Always compare the *change in expectations*, not just the level.

Other Terms from Today's News

- **Temporary external administration (Russia):** When a foreign government places a company's local assets under the control of an appointed manager, effectively nationalizing operations without outright

seizure. Russia used this on Nestlé today. It means the company loses control of its local business but retains ownership on paper — a tool to pressure Western firms.

- **Ethical hacking (or "white-hat" hacking):** A security expert who breaks into systems with permission (or with the intent to report flaws) rather than for criminal gain. Hackron AI's team was ethical hacking when they broke into OpenAI using Claude — they informed OpenAI and were rewarded.
- **AA Index:** A benchmark that measures an AI model's ability to act as an "agent" — autonomously completing multi-step tasks like booking a flight or writing and deploying code. Qwen3.8 scored 45; it's not clear what the top score is, but a higher number means better agentic capability.
- **Foundry (in AI context):** Not the semiconductor foundry (like TSMC). Microsoft Azure AI Foundry is a

platform where enterprises can access foundation models and build agentic workflows with safety controls. It's a development environment.

- **Distillation (in AI context, debate today):** Using a larger model's outputs to train a smaller model to mimic its behavior. The US government and Anthropic accuse Chinese AI labs of "distilling" Western models to accelerate their progress without doing original research ([CNBC](#)). Critics argue this is a normal research technique, not theft. The debate matters because new export controls could target the practice.
- **Load flexibility (data centers):** The ability of a data center to vary its power consumption — for example, deferring non-urgent AI training tasks to times when renewable energy is abundant or grid strain is low. NVIDIA and Google's new coalition aims to build software standards for this.

10. Bottom Line

The world is being reshaped by three simultaneous forces: war, energy, and AI. The US-Iran war is driving up energy prices in Europe, which is forcing Macron to convene emergency G7 meetings while warning about Russian hybrid attacks. The US is considering pulling troops out of Europe, which would further destabilize the NATO alliance. At the same time, the AI buildout continues to strain semiconductor supply chains (NOR Flash shortages) and power grids (NVIDIA/Google coalition on flexibility), while also creating new security challenges (AI attacking AI).

Markets are cautiously optimistic after the Fed hike, but the path ahead is narrow. The Fed's rate hike removed some uncertainty, but with a potential 12th hike

on the table and energy prices volatile, growth stocks — including AI — are still vulnerable to rate shocks. The options market is betting on an AI rebound, but the fundamentals need to justify the valuations.

What changed since yesterday: The Fed hike is now fully digested; markets rallied on Thursday. Macron's G7 energy meeting and the Russian hybrid attack warning are new developments. The US troop withdrawal story became more concrete (25,000+ number). The NOR Flash undersupply became a headline concern. The OpenAI hack via Claude adds a new layer to the AI security debate. The PrismML compression breakthrough is significant for local AI deployment.

11. Sources

World & Geopolitics

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